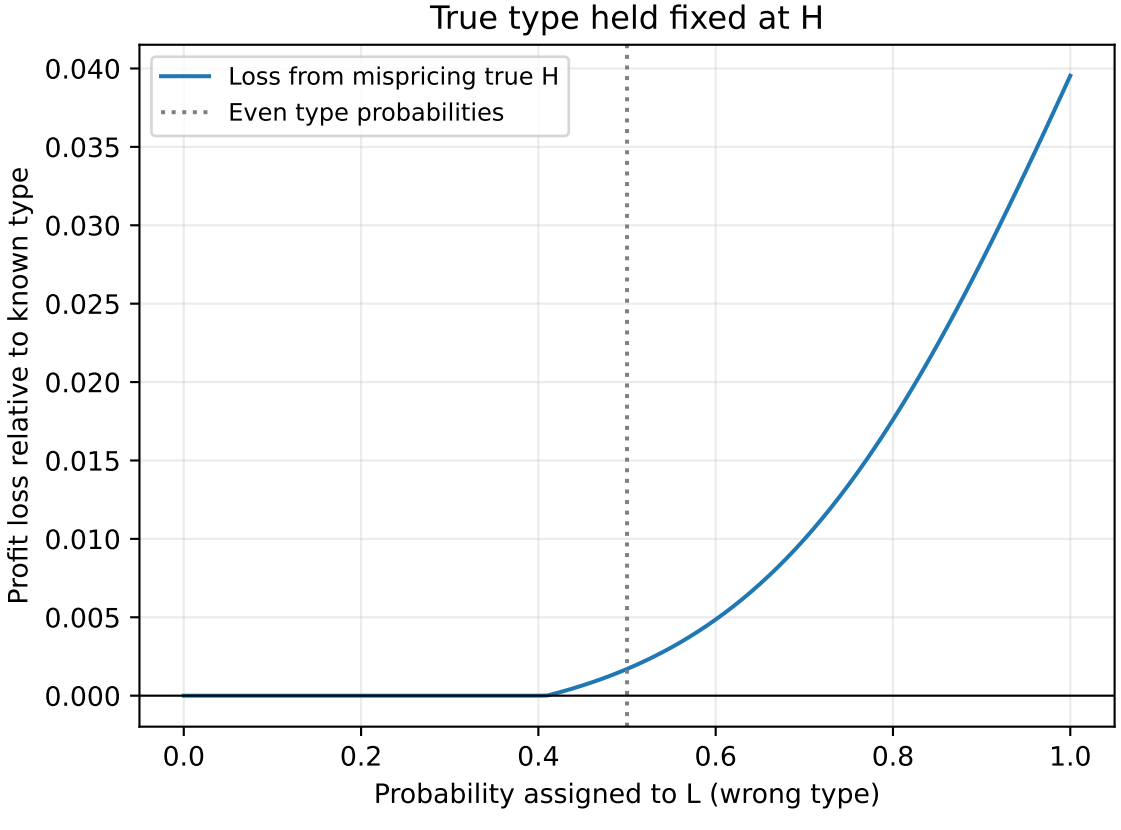
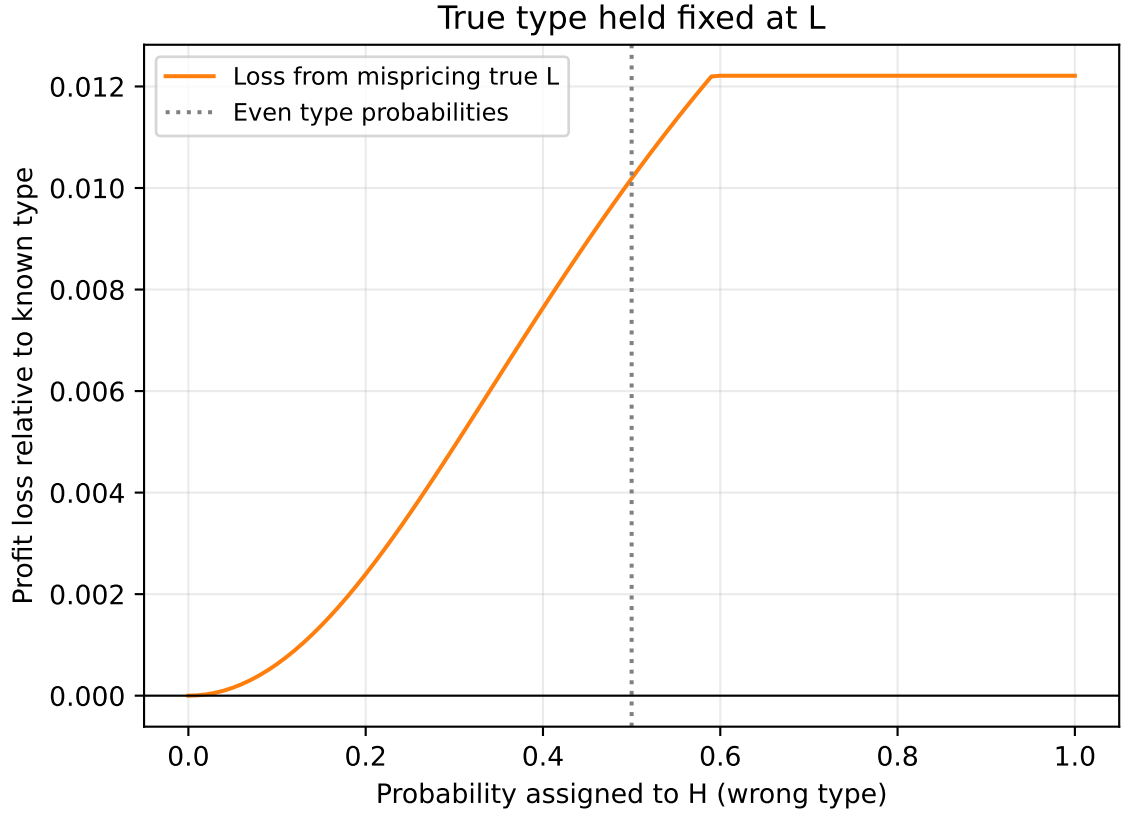

True type held fixed at H
Loss from mispricing true H
Even type probabilities
Profit loss relative to known type
0.040
0.035
0.030
0.025
0.020
0.015
0.010
0.005
0.000
0.0
0.2
0.4
0.6
0.8
1.0
Probability assigned to L (wrong type)


True type held fixed at L
Loss from mispricing true L
Even type probabilities
Profit loss relative to known type
0.012
0.010
0.008
0.006
0.004
0.002
0.000
0.0
0.2
0.4
0.6
0.8
1.0
Probability assigned to H (wrong type)